

Supriya Lifescience Ltd

Concall-Tracker report — is there a durable earning trigger, and has management been consistent?

Screener ticker: SUPRIYA | NSE: SUPRIYA / BSE: 543434 | Report date: 4 July 2026 | Based on 12 earnings-call transcripts read (Q1 FY24 Aug-2023 → Q4 FY26 May-2026)

1. Snapshot

What the business does: Supriya Lifescience makes **active pharmaceutical ingredients (APIs — the actual working drug chemical that goes inside a medicine)**. It is a specialist, not a broad generic house: it is a global leader in a handful of niche molecules — anti-histamine (anti-allergy), anaesthetic (pain-block/surgery drugs), anti-asthma, decongestant, anti-gout and vitamin ingredients. Roughly **82–85% of sales are exported** to about 1,700 customers across ~120 countries. Its edge is **deep “backward integration”** — it makes the product from the cheapest basic chemicals through 7–9 in-house steps rather than buying half-finished chemicals from China — which gives it cost control and supply-chain security.

Note on the numbers: the downloaded Screener snapshot CSV files came through as empty (headers only), so every figure below is taken directly from what management stated on the earnings calls.

Figure (from the calls)	Value	Plain-English read
Revenue FY26 (year to Mar-2026)	Rs 828 cr	Total sales for the year, up ~19% on FY25 — roughly in line with the ~20% growth management keeps guiding to.
Revenue FY25 / FY24 / FY23	Rs 697 / 570 / 461 cr	Sales grew ~22%, ~24% and (earlier) recovering — a steady ~20%+ climb over four years.
Operating profit (EBITDA) margin FY26	35.5%	Out of every Rs 100 of sales, ~Rs 35.5 is operating profit before interest, tax and depreciation — a very high, above-guidance margin.
Net profit (PAT) FY26	Rs 209 cr	The bottom-line profit after all costs and tax, up ~11% on FY25's Rs 188 cr; net margin ~25%.
Debt	~Nil	Effectively debt-free (debt-to-equity ~0.01); has not tapped working-capital loans for years — only uses letters of credit / bank guarantees.
Promoter holding	68.30%	Founders own just over two-thirds and have held it dead steady every quarter since listing — no selling, a stability signal.

2. Concall coverage

Twelve consecutive quarterly earnings-call transcripts were read oldest→newest, spanning **three full years (Q1 FY24 to Q4 FY26)**. Management on every call: Dr Satish Wagh (Chairman), Dr Saloni Wagh (Managing Director) and Krishna Raghunathan (CFO) — the same trio throughout, which itself aids consistency.

Quarter	Call date	Revenue	EBITDA margin	Read?
Q1 FY24	04 Aug 2023	Rs 132 cr	33.7%	Yes
Q2 FY24	08 Nov 2023	Rs 140 cr	22.7%	Yes
Q3 FY24	08 Feb 2024	Rs 140 cr	29.6%	Yes
Q4 FY24	29 May 2024	Rs 158 cr	35%	Yes
Q1 FY25	12 Aug 2024	Rs 161 cr	39%	Yes
Q2 FY25	28 Oct 2024	Rs 166 cr	39%	Yes
Q3 FY25	27 Jan 2025	Rs 186 cr	35.5%	Yes
Q4 FY25	28 May 2025	Rs 184 cr	37%	Yes
Q1 FY26	14 Aug 2025	Rs 145 cr	36%	Yes
Q2 FY26	13 Nov 2025	Rs 200 cr	36%	Yes
Q3 FY26	10 Feb 2026	Rs 206 cr	34.9%	Yes
Q4 FY26	28 May 2026	Rs 277 cr	35.5%	Yes

Plain read of the table: quarterly sales roughly doubled over three years (Rs 132 cr → Rs 277 cr), and the operating margin structurally re-rated from the low-to-mid-20s% / low-30s% up into the mid-30s% as the company shifted its sales towards higher-priced, tightly-regulated Western markets.

Latest concall highlights — Q4 FY26 (call held 28 May 2026)

- **Record quarter, full-year target met.** Q4 revenue was an all-time-high **Rs 277 cr, up ~50% year-on-year** (helped partly by shipments that slipped out of the December quarter). Full-year FY26 revenue **Rs 828 cr, up ~19%** — i.e. they hit their ~20% growth promise despite a weak first half.
- **Profit stayed rich.** FY26 operating profit (EBITDA) **Rs 294 cr at a 35.5% margin** — above their own 33–35% guidance. Net profit **Rs 209 cr** (up ~11%; net margin ~25%).
- **Big regulatory win.** The US drug regulator (USFDA) did a **surprise 7-day inspection** across 7 manufacturing blocks in Feb 2026 and cleared it with a **“VAI” (Voluntary Action Indicated) outcome and only one minor observation** — a strong stamp on quality that keeps the door to regulated markets open.
- **Next growth leg funded.** The company received all clearances for its **Patalganga land** and will break ground in FY27 on a **Rs 200 cr Phase-1 build** (two API blocks + two finished-formulation blocks) — capacity for the years beyond FY27.
- **Guidance reaffirmed, one delay.** Sticking to **~20% annual growth, 33–35% margin, and Rs 1,000 cr revenue by FY27**. The one slippage: the **contrast-media product launch was pushed to H2 FY27** (they want to improve the process first). Tone: confident.

2c. Business mix & capacity (quick-glance)

- **Domestic vs export:** Exports **~82% of FY26 revenue**, domestic only ~18% — this is overwhelmingly an export business. Inside exports the biggest region is **Europe (~40%)**, then **Latin America (~24%)**, with North America small (~6%) and the rest Asia/Africa. About **half of all sales now come from tightly-regulated markets** (up from ~45% two years ago), which is what lifted margins.
- **Capacity & utilization:** Main Lote plant runs at **~76% utilization** (management calls ~75–80% the practical max for a multi-product site). Total capacity was **doubled to ~1,020 KL** after the new Module-E block came on line in Dec-2024. A new Ambernath finished-formulation (CDMO) site is being commissioned around Q4 FY26, and the Patalganga site is the next expansion — so capacity is not the growth bottleneck.
- **Backward integration:** **~76% of revenue** now comes from fully backward-integrated products (made from basic chemicals in-house), which management says is the source of both cost advantage and China-independence.

3. Earning Trigger thesis

The core story management pushes, in one paragraph: Supriya wants to be the world's trusted, quality-certified, backward-integrated alternative to China for a set of niche APIs where China is the dominant — but often non-GMP (not held to Good Manufacturing Practice quality standards) — supplier. As global drug-makers de-risk away from China (“China + 1”), Supriya converts them by combining a **USFDA/EU-approved plant, full backward integration (cost + supply security), and regulatory paperwork** customers can't easily get elsewhere. The near-term earnings engine is (a) **pushing existing molecules deeper into high-priced regulated markets (Europe, Brazil/Latin America)**, which lifts both sales and margin; layered with (b) **3–4 new product launches a year** (anaesthetics/Sevoflurane, a cardiovascular intermediate, ADHD, contrast media) and (c) **contract-manufacturing (CMO/CDMO)** deals plus a new finished-formulation plant. The stated goal: **Rs 1,000 cr revenue by FY27 at 33–35% margin**.

Trigger	What management said	Evidence so far	Horizon	Strength
Regulated-market shift & margin re-rating	Move sales into Europe/LatAm where prices & margins are higher; targeted 28–30% margin, later raised to 33–35%.	Delivered & then some. Margin went 30%→37.4%→35.5% (FY24→26); regulated share ~45%→~50%; LatAm 8%→24%. USFDA/ANVISA audits passed.	Playing out now	Strong
Capacity doubling	Module-E to take Lote to ~1,020 KL; Ambernath formulation site; Patalganga next.	Module-E commissioned Dec-2024. Ambernath commissioning ~Q4 FY26. Patalganga cleared, Rs 200 cr Phase-1 in FY27.	FY25→FY28	Strong
New product launches (3–4/yr)	Anaesthetics (Sevoflurane), cardiovascular intermediate, ADHD, contrast media — large China-dependent molecules.	Anaesthetic, cardiovascular intermediate & ADHD launched FY26 & scaling; USDMF/CEP filings done. Contrast media delayed to H2 FY27.	2–3 yrs to scale each	Moderate–Strong
CMO/CDMO (contract manufacturing)	Target ~18–20% of revenue mix; DSM-Firmenich 10-yr vitamin contract, whey-protein, formulation CMO from Ambernath.	Only DSM is commercial (~Rs 30–35 cr FY26, peak ~Rs 60 cr FY27). Whey-protein & formulation CMO still slow / pre-revenue.	FY27–FY28	Moderate (unproven at scale)

Bottom line of this section: there is a **clear, concrete and already-visible** earning trigger — the regulated-market + capacity + backward-integration flywheel — that has demonstrably lifted revenue and margin for three years. The newer legs (new molecules, CMO/CDMO) are real but earlier-stage.

4. Management Consistency scorecard

Period / promise made	What was actually delivered	Verdict
FY24 onward: “20–25% revenue growth every year.”	FY24 +24%, FY25 +22%, FY26 +19% — hit the ~20% mark all three years, even after a weak H1 FY26.	Delivered
FY24: “Sustainable 28–30% EBITDA margin.”	Beat it repeatedly (30% → 37.4% → 35.5%) and then raised the guidance to 33–35% — under-promised, over-delivered.	Delivered (beat)
FY24: Reduce China dependence; grow regulated markets.	Done. China de-risked to a small fixed contract; Europe ~40%, LatAm 8%→24%; regulated share ~45%→~50%.	Delivered
FY24: Double capacity via Module-E (Lote to ~1,020 KL by end-FY25).	Commissioned Dec-2024, ~1 quarter late — essentially on time.	Delivered
FY24–25: Backward integration to keep rising.	Rose from ~68% to ~76–81% of revenue — steadily executed.	Delivered
FY24: Ambernath finished-formulation (CDMO) site “operational Q1 FY25.”	Slipped repeatedly; commercial contribution now only from Q4 FY26, meaningful only in FY27 — ~2 years late.	Partly / delayed
FY24–25: CMO/CDMO to reach ~18–20% of revenue.	Only DSM is commercial (~Rs 30–35 cr). Still far from 20%; timeline pushed to FY27–28.	Too early / behind
FY24 (Nov-23): Oral-cancer detection kit & wound-healing gel (Kalinga tie-up); whey-protein (Plasma Nutrition).	Perennial “~3 years away” projects; cancer kit still stuck at innovator/approval stage, whey-protein slow. Never core to guidance, but repeatedly hyped.	Dropped-ish / stalled
FY26 recurring: Rs 1,000 cr revenue by FY27.	Still reaffirmed on the latest call; FY26 at Rs 828 cr keeps it plausible (needs ~20% again).	On track (too early to score)

Narrative drift: The **core story has been remarkably steady and, on the numbers that matter (growth and margin), over-delivered** — the same three managers have told the same “regulated-market, backward-integrated, China+1” story for three years and largely walked it. The honest caveats: (i) the **diversification / “innovation moonshot” projects** (oral-cancer kit, wound gel, whey protein) have drifted and quietly faded from the growth math; (ii) the **CMO/CDMO and Ambernath timelines have slipped ~2 years**; and (iii) **Q1 FY26 fell ~10%** on a self-inflicted maintenance shutdown — though they recovered it and still hit the full-year target. Growth is also more **price/mix-led than volume-led** (tonnage FY24→FY25 rose only ~40–50 tons), and working-capital days have crept up (124 → 158 → 170) with inventory near 200 days — worth watching, but explained by larger batch sizes.

5. Bottom line — the two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver — the shift of a backward-integrated, quality-certified API portfolio into high-margin regulated markets as global buyers de-risk from China — and it has **already shown up** in three straight years of ~20% growth and a margin re-rating from 30% to the mid-30s%. Capacity to keep growing (Module-E done, Ambernath and Patalganga coming) is funded and in place, and the balance sheet is debt-free. The newer legs (new molecules, CMO/CDMO) add upside but are not yet needed for the verdict.

Management consistent? → YES

On the promises that count — revenue growth and margin — management has **delivered and even beaten its own guidance** for three years, kept the same story, kept promoter holding steady at 68.3%, stayed debt-free, and passed a surprise USFDA audit. The mark against a “perfect” score is real but secondary: pipeline/CMO/Ambernath timelines have slipped ~2 years, the flashy oral-cancer/whey-protein projects have stalled, and Q1 FY26 stumbled on a maintenance shutdown. Those are execution wobbles and over-optimistic side-bets, not a broken or drifting core story — so this is a genuine, if not flawless, **Yes**.

Prepared from primary sources: 12 Supriya Lifescience earnings-call transcripts (Aug-2023 to May-2026). Financial figures are as stated by management on those calls; the Screener snapshot CSVs downloaded empty and were not relied on except shareholding data. This is an analysis of management communication versus delivery, not investment advice.